

THE GENERAL ASSEMBLY OF PENNSYLVANIA

HOUSE BILL

No. 1942 Session of 2025

INTRODUCED BY BURGOS, KINKEAD, GUZMAN, HILL-EVANS, RIVERA,
HOHENSTEIN, STEELE, BOROWSKI, HADDOCK, SANCHEZ, CEPEDA-
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OCTOBER 14, 2025

REFERRED TO COMMITTEE ON CONSUMER PROTECTION, TECHNOLOGY AND
UTILITIES, OCTOBER 16, 2025

AN ACT

1 Providing for prohibition on surveillance pricing; and imposing
2 penalties.

3 The General Assembly finds and declares as follows:

4 (1) A recent study documented how businesses are
5 aggressively and secretly engaging in surveillance of their
6 customers and secretly varying prices between customers or
7 groups accordingly. The study documented the following
8 surveillance-based pricing practices:

9 (i) Orbitz learned that Mac users typically spend
10 more money to stay at hotels and steered those users
11 toward different, sometimes costlier, travel options than
12 non-Mac users.

13 (ii) Hotel booking sites charged people in certain
14 zip codes more money to stay at hotels than people in
15 other zip codes across the country. In one example, a
16 person in the Bay area was charged by Hotels.com \$80 more

1 to stay in a New York City hotel than someone browsing
2 for the same room from Kansas City.

3 (iii) Staples.com charged people more for the same
4 stapler if they knew a person had fewer options such as
5 not being physically near a competitor.

6 (iv) Target charged people more for its products
7 when they were in a Target parking lot versus when they
8 were in another location because the company determined
9 people who were near a store entrance were willing to pay
10 more. As a result, prices spiked for a television, a
11 smart watch, a vacuum and a child car seat once consumers
12 had arrived in a store parking lot.

13 (v) Test preparation company The Princeton Review
14 charged customers more money when it found that they
15 lived in zip codes with large Asian populations.

16 (2) Corporate consultants have told clients that
17 surveillance-based pricing strategies "have become a
18 cornerstone of modern business strategy." Profit margins are
19 improved by two to seven percentage points when surveillance
20 pricing is implemented, according to McKinsey and Company. A
21 Yale study found surveillance-based pricing increased profits
22 for airlines by 4% to 5%.

23 (3) Other studies document that surveillance pricing
24 impacts lower-income people the most. A study of broadband
25 Internet offers to 1,100,000 residential addresses showed the
26 worst deals given to the poorest people. Areas with
27 discounted prices tended to have a higher average income than
28 areas that tended to see higher prices.

29 (4) Personalized or surveillance-based pricing
30 technologies could permit large grocery store chains to

1 impose unfair and discriminatory prices on their customers
2 for basic food necessities in ways that might increase the
3 economic burdens of those already subject to discrimination
4 or economic hardships.

5 (5) Recent reports have raised the possibility that
6 publicly traded grocery store chains, including the dozens of
7 grocery brands under Kroger's corporate umbrella, are
8 concurrently installing facial recognition and other
9 biometric technologies and adopting electronic shelving
10 labels. Together, these technologies could allow grocery
11 retailers to distinguish between customers based on race,
12 gender, disability, distance traveled to the store, age and
13 electronically stored personal information in real time and
14 price food differently based on individualized profiling.

15 (6) Legislation is required to fairly and
16 compassionately restrain the deployment and use of unfair,
17 discriminatory, privacy-invading technologies that, if
18 deployed in ways contrary to the public interest and welfare,
19 will dramatically exacerbate gaps between wealthy and working
20 families to the unneeded benefit of the former and the
21 enduring, unjust harm of the latter.

22 The General Assembly of the Commonwealth of Pennsylvania
23 hereby enacts as follows:

24 Section 1. Short title.

25 This act shall be known and may be cited as the Surveillance
26 Pricing Act.

27 Section 2. Definitions.

28 The following words and phrases when used in this act shall
29 have the meanings given to them in this section unless the
30 context clearly indicates otherwise:

1 "Electronic surveillance technology." A technological method
2 or system of surveillance used to observe, monitor or collect
3 information related to a person, including the following:

4 (1) Actions, habits, race, religion, residence,
5 sexuality or preferences.

6 (2) Interests, including the individual's political,
7 personal or professional affiliation.

8 (3) Web-browsing history, purchase history, financial
9 circumstances or consumer behaviors.

10 (4) Personally identifiable information.

11 "Person." A natural person or an entity, including, but not
12 limited to, a corporation, partnership, association, trust,
13 limited liability company, cooperative or other organization.

14 "Personally identifiable information." The term shall have
15 the same meaning as "personal information" as defined in section
16 2 of the act of December 22, 2005 (P.L.474, No.94), known as the
17 Breach of Personal Information Notification Act.

18 "Surveillance pricing." Offering or setting a customized
19 price for a good or service for a specific consumer or group of
20 consumers based, in whole or in part, on personally identifiable
21 information collected through electronic surveillance
22 technology. The term includes the use of technological methods,
23 systems or tools, including, but not limited to:

24 (1) Sensors.

25 (2) Cameras.

26 (3) Device tracking.

27 (4) Biometric monitoring.

28 (5) Other forms of observation or data collection that
29 are capable of gathering personally identifiable information
30 about:

1 (i) A consumer's behavior and characteristics.

2 (ii) The location or other personal attributes of a
3 consumer, whether in physical or digital environments.

4 Section 3. Prohibition on surveillance pricing.

5 (a) Prohibition.--Except as provided in subsection (b), a
6 person shall not engage in surveillance pricing.

7 (b) Exception.--A person does not engage in surveillance
8 pricing if any of the following apply:

9 (1) The difference in price is based solely on costs
10 associated with providing the good or service to different
11 consumers.

12 (2) A discounted price is offered based on publicly
13 disclosed eligibility criteria, including, but not limited
14 to:

15 (i) signing up for a mailing list;

16 (ii) registering for promotional communications; or

17 (iii) participating in a promotional event.

18 (3) A discounted price is offered to members of a
19 broadly defined group based on publicly disclosed eligibility
20 criteria, including, but not limited to:

21 (i) teachers;

22 (ii) active or retired military;

23 (iii) senior citizens;

24 (iv) students; or

25 (v) residents of a certain area.

26 (4) A discounted price is offered through a loyalty,
27 membership or rewards program that consumers affirmatively
28 purchase or enroll in, based on publicly disclosed
29 eligibility criteria.

30 (5) The person operates as an insurer as defined in 40

Pa.C.S. § 4502 (relating to definitions) and the pricing is in connection with the activity.

(c) Consumer report.--A person is not in violation of this act if the information used in surveillance pricing is based on information contained in a consumer report as defined in 15 U.S.C. § 1681a(d) (relating to definitions; rules of construction) or a commercial credit report, and the use relates to:

- (1) the pricing or specific terms for extending credit;
- (2) entering into a transaction with a specific consumer; or
- (3) a specific commercial enterprise.

(d) Requirements.--A discounted price or reward offered under subsection (b) (2), (3), (4) or (5) that collects personally identifiable information shall:

(1) Clearly and conspicuously disclose any eligibility criteria, available discounts and conditions for receiving or earning the discount or reward before any personally identifiable information is collected.

(2) Be uniformly offered or made available to all consumers who meet the disclosed eligibility criteria.

(3) Not be augmented or supplemented by personally identifiable information obtained from a third party or other means.

(e) Personal information.--Any personally identifiable information collected under subsection (b) shall be used solely for the purpose of offering or administering the applicable discount, cost-based pricing or loyalty program and shall not be used for any other purpose, including profiling or individualized price setting.

1 (f) Construction.--Nothing in this act shall be construed to
2 allow any insurance company to engage in conduct that violates
3 any provision of 40 Pa.C.S. (relating to insurance).

4 Section 4. Penalties.

5 (a) Actions.--Except as provided under subsection (b),
6 actions under this act may only be brought by the Attorney
7 General or a district attorney as follows:

8 (1) In addition to any other remedy at law, a person
9 that violates this act shall be liable for the following
10 civil penalties, which shall be assessed and recovered in a
11 civil action brought under this subsection:

12 (i) A civil penalty not to exceed \$12,500 for each
13 violation, with each violation of this act constituting a
14 separate violation with respect to each consumer or
15 transaction involved.

16 (ii) For an intentional violation of this act, a
17 civil penalty no greater than three times the amount of
18 the penalty assessed under subparagraph (i) in addition
19 to all revenues earned from the violation.

20 (2) A prevailing plaintiff in an action brought under
21 this section shall be awarded reasonable attorney fees and
22 applicable court costs.

23 (3) In addition to seeking civil penalties and other
24 monetary relief, a court may award injunctive or declaratory
25 relief as necessary to enforce this act and to remedy any
26 violation of law.

27 (b) Civil action by consumer.--A consumer may bring an
28 action for injunctive relief as necessary to enforce this act
29 and to remedy any violation of law. A prevailing plaintiff in an
30 action brought under this subsection shall be awarded reasonable

1 attorney fees and applicable court costs.

2 Section 5. Waiver.

3 Any waiver of this act is against public policy and is void
4 and unenforceable.

5 Section 6. Interaction with other laws.

6 The rights, remedies and penalties established by this act
7 are cumulative and shall not be construed to supersede the
8 rights, remedies or penalties established under other laws,
9 including, but not limited to, the act of December 17, 1968
10 (P.L.1224, No.387), known as the Unfair Trade Practices and
11 Consumer Protection Law.

12 Section 7. Effective date.

13 This act shall take effect in 60 days.